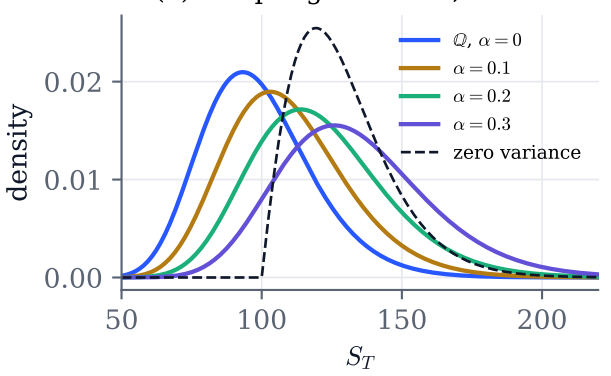
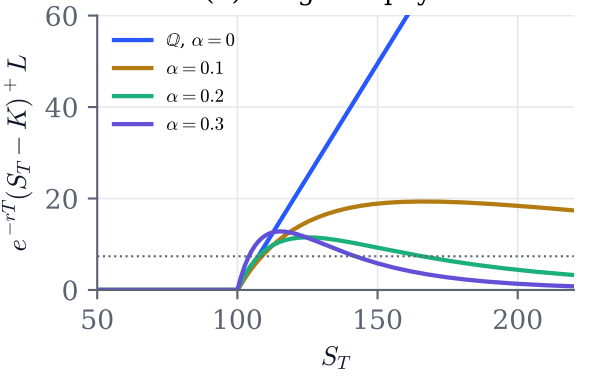

(a) sampling densities, $K = 100$
density
0.02
0.01
0.00
50
100
150
200
S_T
$\mathbb{Q}$, $\alpha = 0$
$\alpha = 0.1$
$\alpha = 0.2$
$\alpha = 0.3$
zero variance


(b) weighted payoff
$e^{-rT}(S_T - K)^+ + L$
60
40
20
0
50
100
150
200
S_T
$\mathbb{Q}$, $\alpha = 0$
$\alpha = 0.1$
$\alpha = 0.2$
$\alpha = 0.3$